Iran will likely retaliate aggressively to US strikes

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Iran will likely retaliate aggressively to US strikes

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summary

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The US will likely launch a short, high-intensity campaign of airstrikes against Iran in mid-November (65% odds); Iran will likely retaliate more aggressively than in the past, potentially targeting undersea cables in the Strait of Hormuz.
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Stronger-than-expected initial election results for Israeli Prime Minister Benjamin Netanyahu’s bloc have prompted a reversal in the shekel.
*
EG is downgrading Chile’s short- and long-term political trajectories from positive to neutral on President Jose Antonio Kast’s weakening political capital and limited policy upside.
*
Brazilian President Luiz Inacio Lula da Silva’s initial honeymoon will be short, while defeated candidate Flavio Bolsonaro’s flight to the US will deepen his family’s decline as leaders of the Brazilian right.
*
Countries and sectors in this edition of the Daily Brief include the US, Brazil, Chile, Czechia, Ecuador, the EU, Hungary, Indonesia, Iran, Israel, Japan, Malaysia, the Philippines, Poland, Russia, Slovakia, energy, and geoeconomics.

the top line

US, Iran, Energy—US will likely strike Iran in mid-November, but Tehran will likely resist and retaliate

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The US is likely to launch new military strikes against Iran (65% odds), potentially with Israel's support. It is unlikely to strike before the midterms, given the political downside and the need for more time to prepare, and will likely act on existing plans for a short, high-intensity escalation in mid-November.
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The strikes aim to degrade Iran’s military capabilities, including its underground missile and nuclear facilities, and pressure its leadership to accept US demands. But Iran is not prepared to submit, and a

negotiated deal looks unlikely (20%).

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Iran wants to deter further attacks, so its retaliation will likely be more aggressive than in the past and could expand beyond US bases and energy infrastructure. This could include non-energy infrastructure targets, such as undersea cables running through the Strait of Hormuz, AI infrastructure, desalination plants, electricity facilities, airports and ports.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Israel—Stronger-than-expected initial results for Netanyahu bloc prompt shekel reversal

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Register here for our conference call on the post-vote outlook at 11am ET today. Reach out to discuss: mena@eurasiagroup.net .

US—White House has no good options to disrupt the midterms

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The Trump administration does not have credible options to overturn or otherwise reverse the results of the House or Senate elections if Democrats win majorities in either chamber. EG does not expect the administration to try to subvert the results, and thinks it would fail if it did.

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The most concerning development would be a serious attempt by Republican officials to deny results or certifications in close House races to avoid seating Democratic winners. But the more than 20-seat Democratic margin EG expects makes this tactic implausible.

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Vote-counting delays, recounts, and legal challenges are normal parts of the election process, not signals of subversion. Claims of a stolen election will instead serve Trump in his effort to remake the Republican Party.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Chile—Downgrading political trajectories to neutral as Kast’s political capital weakens

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EG is downgrading Chile’s short- and long-term political trajectories from positive to neutral. Seven months into his four-year term, Kast has less political capital, and the scope for further policy gains is limited.

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Kast’s approval ratings fell to a record low of 29% in the latest Cadem poll and are unlikely to recover significantly. Economic growth has disappointed, unemployment rose to 9.6% in the June to August quarter, and the economy and jobs have overtaken security as the public’s main concern.

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With limited leverage in congress, the administration will probably focus on incremental measures to boost employment and investment, along with revised aspects of its security agenda, rather than major reforms.

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Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Brazil—Lula's runoff win gives him only a short honeymoon, while fraud claims will fall flat

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Lula's runoff win, based on an effective campaign that mobilized voters on social media and in the streets, gives his fourth term a stronger starting point and will help him manage Congress early on. However, his coalition is broad but shallow, and his honeymoon will be short.

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Sluggish growth and unpopular fiscal adjustment measures will hit hardest among the distrustful voters who gave Lula a late vote of confidence. His popularity is expected to erode in 2027, possibly to below 40%, and the need to respond will increase risks to fiscal management.

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Fraud claims are likely to fade, as Lula’s 4.4 million-vote margin vastly exceeds the roughly 35,000 ballots cast after the Federal Supreme Court extended voting hours. Conservative voters will still see the election as stolen, as a large share of them did after the 2022 election (see chart below). But most institutional actors are rallying behind the result, making sustained social unrest unlikely.

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Read more here and here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Brazil, US—Flavio Bolsonaro’s flight deepens family’s decline as leaders of the right

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Flavio Bolsonaro fled to the US on 26 October after Federal Supreme Court Justice Alexandre de Moraes ordered him to surrender his passport. Flavio faces serious corruption allegations, but the timing of the decision, one day after the runoff, will reinforce conservative voters’ conviction that the judiciary is a political instrument.

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The decline of the Bolsonaro family as representatives of the Brazilian right will likely intensify. Former president Jair Bolsonaro remains under house arrest, and his two most politically prominent sons will now operate in effective exile in the US.

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The escape introduces a new friction point into US-Brazil relations, as Trump will offer Flavio refuge. But Trump has signaled he is more likely to engage pragmatically with Lula’s administration than to escalate.

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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

upcoming conference calls

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28 October 9:30 AM ET—Latin America update. Register here .

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28 October 11:00 AM ET—Israeli post-election update with Ambassador Daniel Shapiro. Register here .
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6 November 9:00 PM ET—Implications of the US midterms. Register here .

eg in brief

Japan, Russia—Tokyo’s Russia problem will persist as Moscow steps up pressure: Japan-Russia tensions will remain high as Moscow strengthens its claim over the disputed Kuril Islands and increases other forms of military and diplomatic pressure. Although Tokyo is trying to arrange a bilateral meeting between Prime Minister Takaichi Sanae and President Vladimir Putin at the APEC or G20 summits to ease tensions, Moscow is unlikely to agree to a meeting this year. Takaichi prefers engagement over confrontation, but her weak response risks inviting further escalation. Read more here . Reach out to discuss: japanresearch@eurasiagroup.net .

Indonesia, Philippines, Malaysia—Prabowo’s defiance masks continued market reforms ahead of MSCI review: Indonesia's authorities are responding proactively to the MSCI double-downgrade threat despite President Prabowo Subianto's nationalist rhetoric, but implementation credibility remains the key variable. The Philippines' Vice President Sara Duterte-Carpio faces rising—though not certain—impeachment risk, with short-term implications limited but considerable potential impact on the 2028 presidential race and foreign policy of the next administration. Malaysia's ruling Pakatan Harapan coalition is expected to lose upcoming state elections in Melaka and Sarawak, but Prime Minister Anwar Ibrahim will still likely stay in power until federal elections expected in late 2027. Read the conference call notes here . Reach out to discuss: southeastasia@eurasiagroup.net .

Hungary, Poland, Czechia, Slovakia, EU—A revived Visegrad Four will face familiar constraints: The arrival of Peter Magyar this year as Hungary’s new prime minister has created expectations of a revitalized Visegrad Four—an informal cultural and political alliance of four Central European nations: Czechia, Hungary, Poland, and Slovakia. Stronger regional cooperation is a central pillar of Magyar’s foreign policy ambitions. Czechia and Slovakia will be more cooperative than previously thought. However, Polish Prime Minister Donald Tusk will very likely prioritize domestic politics ahead of the 2027 elections, which could weaken Polish-Hungarian cooperation. The most the grouping can realistically achieve is to coordinate positions in the European Council and lobby for its preferred outcomes. The group will be broadly aligned in advocating for the preservation of cohesion-type funding in the next EU budget. But alignment on Ukraine, the green agenda, and competitiveness will prove more challenging. A proposed expansion of the grouping remains unlikely. Read more here . Reach out to discuss: europe@eurasiagroup.net .

Ecuador—Noboa on track for solid showing in local elections: President Daniel Noboa’s National Democratic Action party is on track to secure around one-third of local posts in the 29 November regional and local elections and will likely win at least one of the most populous cities or provinces. His approval ratings have recovered to the low-40s on high-profile security operations and relatively strong economic conditions, though a fragile electricity situation remains his main vulnerability. A solid showing would help ensure governability in the second half of his term, but a post-election fiscal adjustment will be contingent on revenue measures. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming events:

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28 October: Data: Russia industrial production and unemployment; Central bank decisions: Canada and US.

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29 October: Events: EU-Canada Summit begins in Montreal, through 30 October; Data: US personal income, PCE price index, and GDP; Central bank decisions: Egypt, ECB, and Ukraine.

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30 October: Events: G20 Foreign Ministers' meeting begins, through 31 October; Data: Eurozone GDP and unemployment, Mexico GDP, France, Italy, and Poland CPI, and Japan and South Korea industrial production; Central bank decisions: Colombia and Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at dailybrief@eurasiagroup.net

closing quip

"Now, my question is, do I make a deal with them, or do I finish them off?"—Trump said of Iran in a Fox News interview on 25 October, as the US weighed new strikes.

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